The duration of such bills of exchange may be ranging from 15 days to 180 days. Instead of holding the bills till the date of maturity, borrowers generally prefer to get them discounted with the bank. Discounting bills of exchange refers to an act of selling a bill to obtain payment for it before its maturity.

4. Trade Credit

Trade credit is the credit extended by one trader to another for the purpose of purchasing goods and services. Purchaser need not pay money immediately after the purchase. Such credit appears in balance sheet as Trade Creditors, or Accounts Payable. Trade credit is very simple and convenient method of raising short term finance. There is no formality involved in availing this facility. There is no need to give any security for trade credit. It is said to be more economical than bank loans.

5. Pledge

A customer transfers the possession of an article with the creditor (banker) and receives loan. Till the repayment of loan, the article is under the custody of the borrower. If the debtor fails to refund the loan, creditor (banker) will auction the article pawned and adjust the outstanding loan from the sale proceeds.

6. Hypothecation

This is loan taken by depositing document of title to the property with the banker. Of course the physical possession of asset property is with the borrower. If the borrower fails to repay the loan amount, the article hypothecated will be sold in auction by the banker concerned. Business people *hypothecate* goods or equipment to get this type of loan. It is a loan taken on the security of **movable asset**.

7. Mortgage

This is a type of loan taken from the bank by lodging with the banker title deeds of **immovable assets** like land and building. Business people raise loans by depositing the title deeds of the properties with the bank.

8. Loans Against the Securities

Banks accept various types of securities like fixed deposit receipt, book debts, insurance policies, supply bills, shares debentures, bonds of company, document of title to the goods like railway receipt, bill of lading, trust receipt, warehouse keeper's receipt, book debt, and so on, and provides loan on the basis of the aforesaid securities.

9. Clean Loan

Banks provide clean loan to certain customer of outstanding credit worthiness on the basis of their character, capacity and capability. It simply grants loan without any physical security. In other words clean loan is loan given without any security or with personal security.

10. Commercial Paper (CP)

Commercial paper (CP) is an unsecured money market instrument in the form of a promissory note. Corporates, Primary Dealers (PD), and All India Financial Institutions are eligible to issue Commercial Paper. It was introduced in India in 1990 under Section 45W of the Reserve Bank of India Act. It is issued by a firm to raise funds for a short period. It can be issued for maturities between a minimum of 7 days and a maximum of up to one year from the date of issue.

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